January 2012

WELLS FARGO ADVISORS

Quarterly Economic and Market REVIEW

A look back by our Advisory Services Group

Economy

The U.S. economy enjoyed a strong finish to the year with moderate inflation and modest, but continuing, economic growth and increased employment. *See page 2 for details.*

U.S. equities

Thanks primarily to positive economic data and strong earnings growth (and despite the ongoing euro-zone debt crisis), the stock market rallied to end 2011. *More on page 4.*

Fixed income

Frustration with historically low yields was the name of the game for fixed income investors in 2011, and the fourth quarter proved no different than the months that preceded it. *Turn to page 6 for additional information.*

International and commodities

It's a great big world out there, but in the fourth quarter, the headlines were all about the news from China and Europe. The result: range-trading market action. *Find our summary on page 8.*

Please see page 11 for important disclaimers and analyst certification.

A better quarter for the economy and stocks

Gary Thayer
Chief Macro Strategist

The fourth quarter ended much better than it started. Three months ago, investors worried that the European debt crisis would spill over to the United States. Instead, the U.S. economy has proven to be more resilient than many investors expected in the final quarter.

The latest economic data show that the U.S. economy is not in recession. In fact, economic activity probably expanded at the fastest pace of the year during the fourth quarter. At the same time, several European countries appear to be falling into recession because their governments have adopted austere budgets in an attempt to restore investor confidence in their sovereign debt.

Last summer, investors fearing a repeat of the 2008 bear market sought perceived safety, driving U.S. stock prices down, gold prices up and U.S. government bond yields lower. During the fourth quarter, investor sentiment improved as the fears of a double-dip recession lessened. As a result, the stock market recovered, gold prices retreated and government bond yields stabilized. History shows that a recovery in stock prices and a decline in gold prices often indicate that investor fears may have peaked. Nevertheless, investors still appear to be somewhat cautious and risk averse.

Defensive stocks did better than economically sensitive stocks toward the end of the fourth quarter. If investors were optimistic, the opposite would probably be true. Investors may be less fearful but do not appear to be convinced that the European policymakers have done enough to contain their sovereign debt crisis from cascading into a greater global crisis.

Fortunately, U.S. consumers were feeling better in the fourth quarter as the stock market recovered, gasoline prices declined and companies cut fewer jobs. Consequently, consumer confidence jumped in December to its highest level in eight months. This is a positive sign that the U.S. economy is weathering many of the problems that threatened to derail the recovery this past year.

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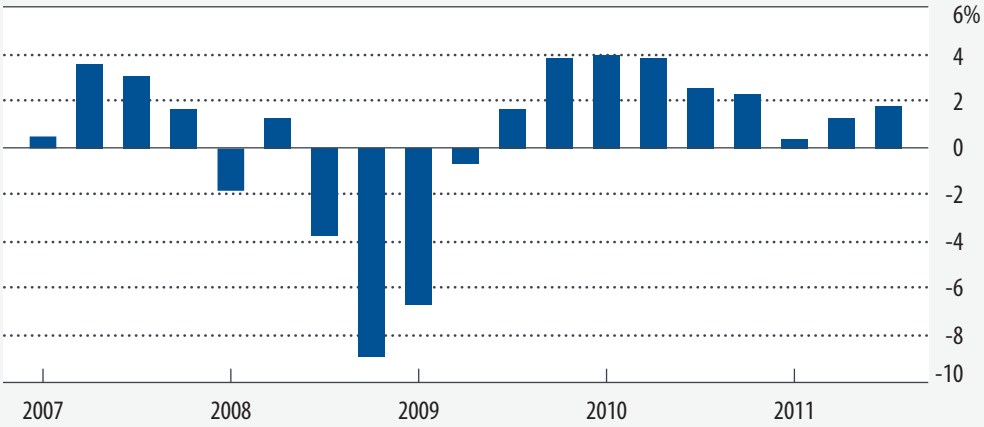
Economic growth continued at a below-average rate

Percent change in inflation-adjusted gross domestic product (GDP), seasonally adjusted annual rate

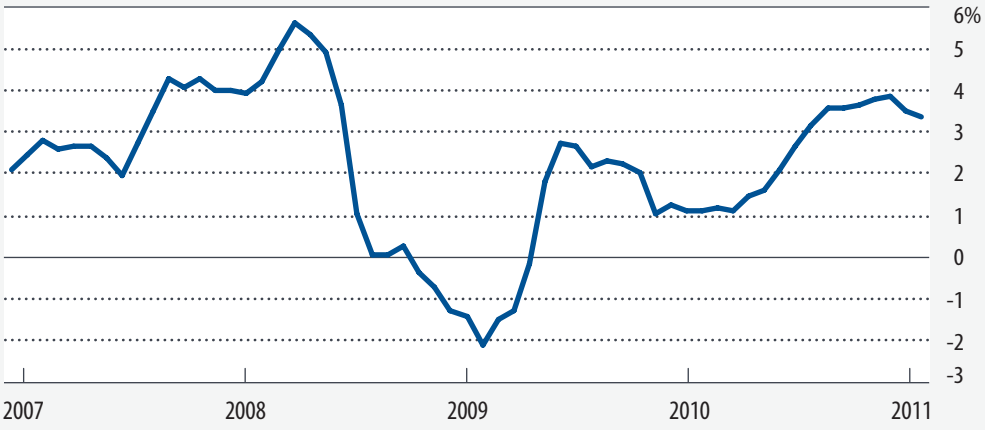


Past performance is not an indication of future results. **Source:** Haver Analytics, Wells Fargo Advisors

- The U.S. economy expanded at a modest 2.0% inflation-adjusted annual rate during the third quarter of 2011, and fourth quarter economic growth was probably slightly better. However, the economy has been growing at a below-average rate during the past year because housing is still weak, state and local governments are trimming expenditures and exports are slowing as the global economy weakens.

Moderate inflation was good news for consumers

Consumer price index (CPI), not seasonally adjusted year-over-year percentage change

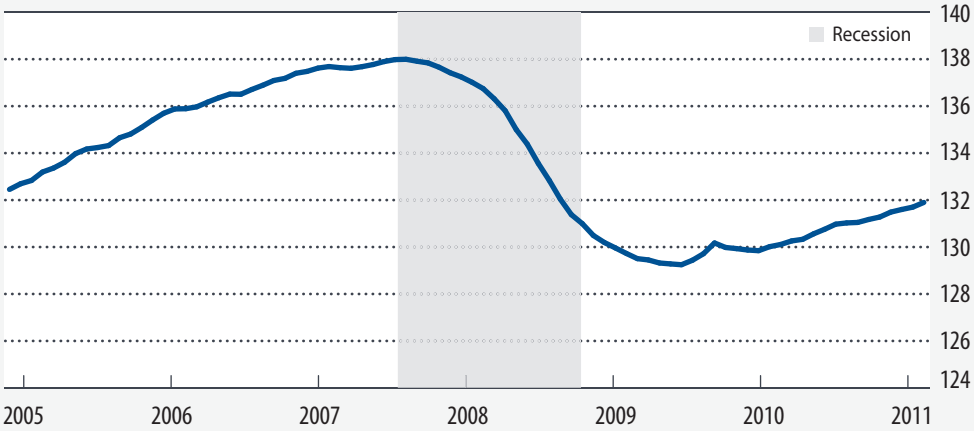


Past performance is not an indication of future results. **Source:** Haver Analytics, Wells Fargo Advisors

- Inflationary pressures have moderated as the global economy slowed down and commodity prices decreased in late 2011. Lower inflation gives businesses lower costs of resources and consumers more purchasing power. More important, lower inflation opens the door for policymakers to provide more monetary stimulus, and several central banks, including the European Central Bank, cut interest rates in the fourth quarter of 2011.

Employment situation improved modestly

Total nonfarm payrolls, in millions, seasonally adjusted



Past performance is not an indication of future results. **Source:** Haver Analytics, Wells Fargo Advisors

- Businesses continue to hire cautiously as the U.S. economy expands at a below-average rate. Nevertheless, nonfarm payrolls have increased to their highest level in more than 2½ years. Unfortunately, payrolls are still far below their pre-recession peak.

Stocks recovered in the fourth quarter

Stuart Freeman, CFA®
Chief Equity Strategist

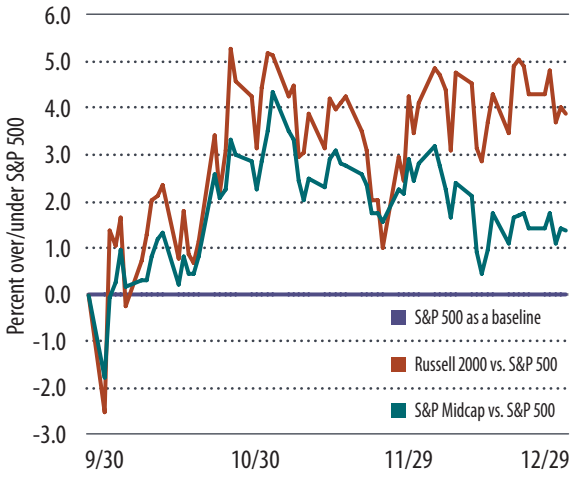
Scott Wren
Senior Equity Strategist

In sharp contrast to the third quarter of 2011, better economic data coming from the United States and some signs of potentially credible plans to deal with the euro-zone debt crisis helped the equity markets to a strong rally in the final three months of the year. Day-to-day market volatility remained high, but the major averages rallied back despite high investor fear levels. Corporate profit growth continued to be positive as earnings growth once again surprised to the upside in the most recent reporting period. As of the date of publication, only a portion of the companies in the S&P 500 have reported, but it appears that earnings will have grown in axcess of 17% for 2011, far above the longer-term average. The labor market is slowly improving. In fact, a broad swath of industries have been hiring workers, however not yet in large numbers. We expect the labor market to continue to improve over the next four quarters. In addition, the Federal Reserve has told the financial markets that it intends to keep interest rates at or near zero through 2014.

In the fourth quarter of 2011, the S&P 500 rallied 11.2%, while the Dow Jones Industrial Average rose 12.0%. The NASDAQ Composite also notched a substantial gain, rising 7.9%.[1] Looking at the individual equity sectors, those most sensitive to the performance of the global economy posted the highest returns.

Small- and mid-cap stocks outperformed large-cap

S&P 500 vs. Russell 2000 and S&P Midcap



Past performance is not an indication of future results.
Source: Bloomberg, Wells Fargo Advisors

As we move through the middle portion of this economic cycle, there continues to be concerns over the sustainability of the recovery and the magnitude of the slowdown in corporate earnings growth. Our economic outlook for 2012 can be summed up in one word: modest. We believe the economy and earnings will continue to grow but at a below-trend pace over the next four quarters. As was the case last year, day-to-day stock market volatility is likely to remain high for much of this year. However, volatility can often translate into opportunity for long-term investors. In our opinion, equity valuations remain attractive.

[1]*Source: Bloomberg*

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U.S. equity indexes by asset class

As of December 30, 2011

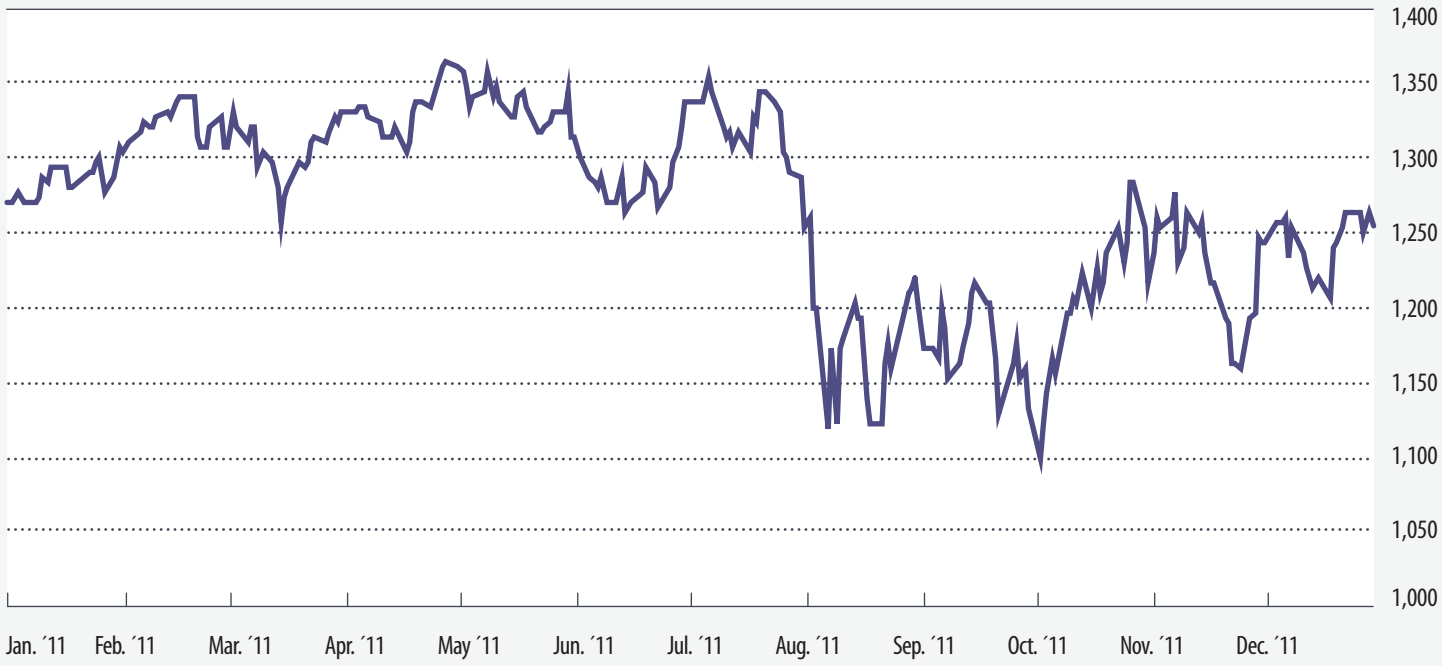
	4th QTR	YTD	1 YR	3 YR	5 YR
S&P 500 Index	11.82%	2.12%	2.12%	14.13%	-1.24%
S&P 500 Pure Growth	9.74%	0.87%	0.87%	24.87%	4.93%
S&P 500 Pure Value	11.06%	-0.83%	-0.83%	23.74%	-0.91%
S&P 400 Total Return	12.97%	-1.75%	-1.75%	19.59%	3.31%
S&P 400 Pure Growth	7.30%	0.62%	0.62%	29.77%	9.32%
S&P 400 Pure Value	16.25%	-5.09%	-5.09%	23.01%	0.71%
Russell 2000	15.46%	-4.20%	-4.20%	15.64%	0.15%
Russell 2000 Growth	14.99%	-2.92%	-2.92%	19.02%	2.08%
Russell 2000 Value	15.97%	-5.50%	-5.50%	12.37%	-1.88%
MSCI US REIT Index	15.28%	8.70%	8.70%	21.32%	-1.52%

Source: FactSet, Wells Fargo Advisors

- Better economic data in the United States helped buoy stocks in the final quarter of the year. Those sectors most sensitive to the global economic recovery performed best, including Energy (+17.6%), Industrials (+15.7%) and Materials (+14.7%).
- In the last quarter of 2011, value outperformed growth by approximately 2.5%.
- The market rally in the final quarter also helped both small- and mid-capitalization stocks, as a group, outperform the large caps.

The stock market started and ended the year at nearly the same level

S&P 500 performance



Past performance is not an indication of future results. An index is not managed and is unavailable for direct investment.

Source: Bloomberg, Wells Fargo Advisors

Interest rate environment remains challenging

Brian Rehling, CFA®
Chief Fixed Income Strategist

After a volatile third quarter, the fixed income markets took a breather during the fourth quarter, and the spread sectors were the big winners. We continue to favor the spread sectors, and we think the sector should provide positive relative performance in future quarters.

In recent weeks, we have seen some members of the Federal Open Market Committee (FOMC) become more vocal in their support for a third round of quantitative easing (QE3) to increase liquidity. While we do not feel that additional easing is imminent, we think the likelihood of new bond purchases by the Fed in 2012 has increased. Should QE3 materialize in 2012, we believe that the Fed would likely buy U.S. agency-issued mortgage-backed securities (MBS), such as the MBS issued by Fannie Mae, Freddie Mac or Ginnie Mae. As a result, in the fourth quarter of 2011, we moved our recommended allocation in the MBS sector to neutral from slight underweight to better position investors for any possible Fed action in 2012.

Ten-year Treasury yields moved significantly lower in the third quarter of 2011 and remain near those historically low levels after a flat fourth quarter. We encourage investors looking to increase yield within their fixed income portfolios to consider adding allocations to credit-sensitive sectors, such as corporate bonds and preferred securities. Many corporations have improved their balance sheets in recent years, and we think these securities currently offer better value than Treasury securities.

While we do not expect a rapid rise in long-term rates over the next 12 months, investors purchasing longer-dated bonds face an investment horizon that may include significantly higher yields, which would negatively impact bond prices. It is important that investors be vigilent. Much like equity prices, interest rates do not move in a straight line. While we see rate movements somewhat benign over the next 12 months, the timing of significant moves often takes the market by surprise.

Investors should take care to diversify their holdings in fixed income allocations, holding positions both outside of the United States and in currencies other than the dollar to be better prepared for any future market issues.

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Fixed income index total return

As of December 30, 2011

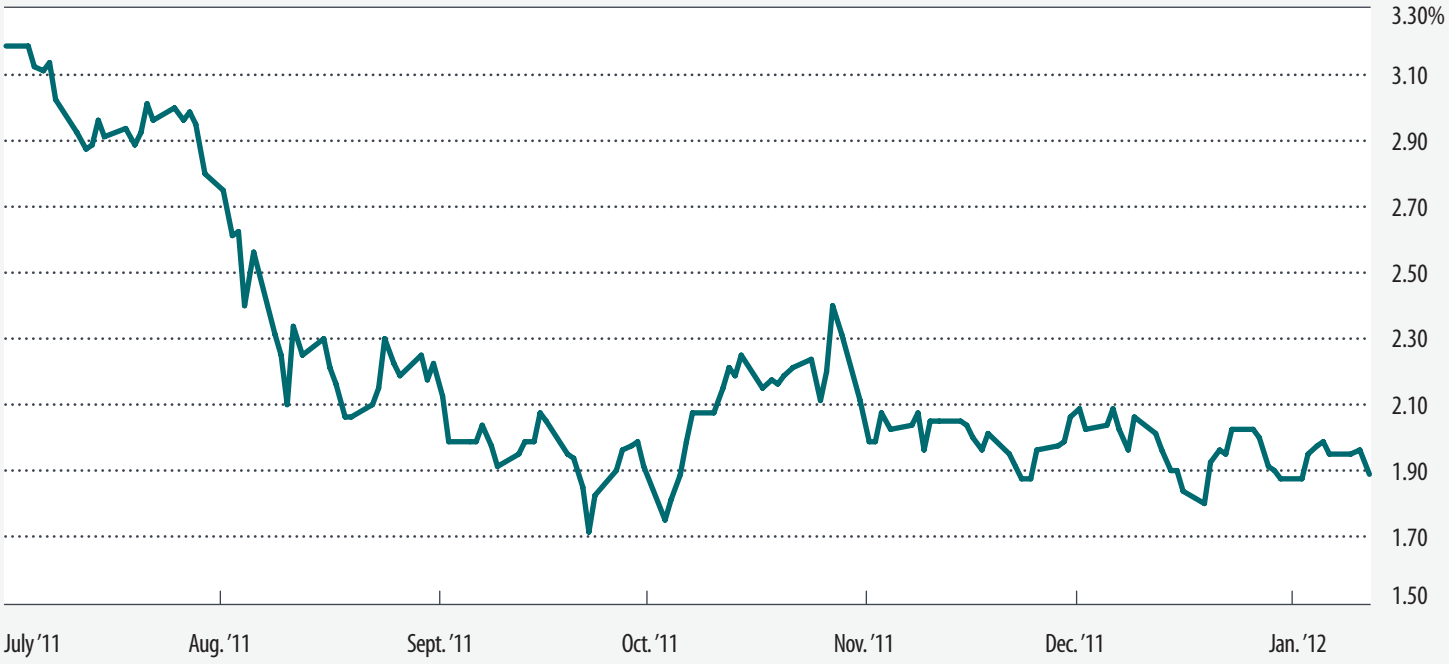
	4th QTR	YTD	1 YR	3 YR	5 YR
Traditional fixed income sectors					
BofA Merrill Lynch U.S. Treasuries - *Master*	0.19%	9.79%	9.79%	11.93%	39.12%
BofA Merrill Lynch U.S. Agencies - *Master AAA*	0.26%	5.27%	5.27%	11.11%	31.67%
BofA Merrill Lynch Mortgages - *Master*	0.60%	6.14%	6.14%	18.62%	37.42%
BofA Merrill Lynch U.S. Corporates - *Master*	1.28%	7.51%	7.51%	41.01%	37.50%
BofA Merrill Lynch Preferred Stock Fixed Rate	3.68%	4.11%	4.11%	42.09%	-5.79%
BofA Merrill Lynch U.S. Treasuries - *Inflation Linked*	1.52%	14.10%	14.10%	33.49%	47.27%
BofA Merrill Lynch Municipals - *Master*	2.08%	11.19%	11.19%	30.13%	29.09%
Alternative income sectors					
BofA Merrill Lynch U.S. High Yield - *Master II*	7.03%	4.38%	4.38%	89.39%	42.47%
Citigroup Non-USD WGBI (USD)	-0.45%	5.17%	5.17%	15.51%	41.75%
JP Morgan EMBI Global	5.23%	8.46%	8.46%	55.76%	47.47%
Aggregate indexes					
Barclays Capital U.S. Aggregate	0.65%	7.84%	7.84%	21.71%	37.01%
Barclays Capital Municipal Bond	2.11%	10.70%	10.70%	27.97%	29.00%
Customized WFA Benchmark	0.95%	7.87%	7.87%	24.21%	33.63%
Duration indexes *(Treasury)*					
BofA Merrill Lynch U.S. Treasuries (1-5 yr.)	0.26%	3.36%	3.36%	7.34%	26.23%
BofA Merrill Lynch U.S. Treasuries (5-10 yr.)	0.50%	12.88%	12.88%	16.96%	50.74%
BofA Merrill Lynch U.S. Treasuries (10+ yr.)	-0.56%	29.06%	29.06%	22.72%	67.72%

Source: FactSet, Wells Fargo Advisors

- Fixed income volatility decreased over the last three months and our favored sectors of the market – preferred securities, corporate, municipal and high yield bonds – saw strong gains.
- Treasuries did not see significant gains over the last three months but held on to their big gains made in the third quarter as yields remained near historically low levels.
- Most sectors of the fixed income market saw gains for the quarter, the exceptions were long-dated Treasuries and international developed fixed income. Yet even in these two sectors, the losses were no more than 0.6%.

Treasury yields remained historically low

10-year Treasury yield



Past performance is not an indication of future results. An index is not managed and is unavailable for direct investment.

Source: Bloomberg, Wells Fargo Advisors

Optimism and pessimism battled over Europe

Paul Christopher, CFA®
Chief International Investment Strategist

Sameer Samana, CFA®
International Investment Strategist

In the final quarter of 2011, international markets tracked headlines regarding the extent of the economic slowdown in China and the trajectory of the euro-zone debt crisis. China has been engineering an economic slowdown to cool inflationary pressures while Europe struggled to contain its debt crisis. Although extreme outcomes are possible, mixed headlines may hold markets in ranges, especially early in 2012.

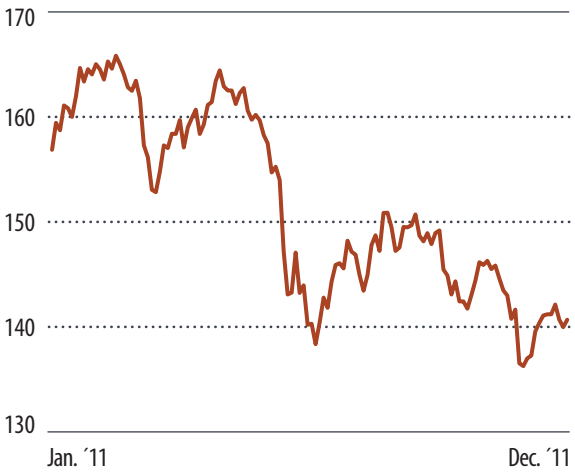
Positive developments in these concerns bolstered international markets last quarter. Supportive Chinese economic data and new initiatives by European leaders in October refocused investors on more positive possibilities. Unfortunately, none of Europe's positive developments proved to be a "magic bullet" for the crisis, and policy announcements led to some disappointment. Consequently, range-trading with an upward drift dominated market action.

In commodities, the range in price movements was likewise wide. Moreover, commodity markets struggled with the additional weight of an incipient European recession, which threatens to further undercut natural resource demand. Thus, the trajectory of commodity prices had less positive trend than that of equities.

International fixed income provided some divergence between developed- and emerging-market prices. Developed markets generally trended lower, weighed down by the selling in euro-zone markets (outside of Germany). Emerging-market debt proved more resilient, however, as slowing economic momentum and interest rate cuts shored up many emerging markets.

A downward trend in commodities

Dow Jones/UBS Commodity Index of 19 commodities



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Source: Bloomberg, Wells Fargo Advisors

Range-trading dominated currencies

There was less divergence in currency movements. The U.S. dollar moved broadly higher on European disappointments but lower on signs of new European policy initiatives. Nevertheless, the general tenor of risk moved currencies in the same wide ranges as seen in other international markets.

These trading ranges may continue into the first quarter of 2012. European leaders are still negotiating agreements that could encourage international investors, but a chance remains that the political divisions could dash investors' hopes. As long as the issues remain unresolved, the potential for further range-trading should persist.

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International equity and fixed income index total return

As of December 30, 2011

	4th QTR	YTD	1 YR	3 YR	5 YR
MSCI EAFE	3.33%	-12.17%	-12.17%	8.23%	-4.18%
MSCI Emerging Markets	4.42%	-18.47%	-18.47%	20.15%	2.51%
Shanghai *(China)*	-6.74%	-20.22%	-20.22%	8.28%	-2.47%
NIKKEI *(Japan)*	-2.71%	-15.62%	-15.62%	0.29%	-11.80%
FTSE 100 *(U.K.)*	9.64%	-1.54%	-1.54%	12.50%	1.99%
BOVESPA *(Brazil)*	8.47%	-18.11%	-18.11%	14.78%	4.99%
KOSPI *(South Korea)*	3.18%	-7.22%	-7.22%	18.64%	6.29%
DJ UBS Commodities	0.35%	-13.35%	-13.35%	6.39%	-2.07%

Foreign exchange levels	3 MTH AGO *(as of 10/3/11)*	1 YR AGO *(as of 12/31/10)*
U.S. dollar index	78.55	79.03
Euro	1.34	1.34
Yen	77.06	81.12
Sterling	1.56	1.56

Commodities	3 MTH AGO *(as of 10/3/11)*	1 YR AGO *(as of 12/31/10)*
Gold *(per troy ounce)*	$1,620.40	$1,421.40
Oil *(per barrel)*	$79.20	$91.38
Copper *(per pound)*	$315.20	$444.70

Source: FactSet, Wells Fargo Advisors

- International markets bounced back from a third quarter sell-off, led by emerging-market equities.
- In the developed markets, European markets led the way as investor anxiety eased slightly.
- Emerging markets were led by strength in China, Brazil and Korea.
- In commodities, oil led the way higher as instability in the Middle East provided a tailwind.

MSCI World Index excluding the United States

1 year chart

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Source: Bloomberg, Wells Fargo Advisors

Advisory Services Group (ASG) recommendations

As of December 30, 2011

The recommendations in this report are produced by analysts and strategists in Wells Fargo Advisors' Advisory Services Group.

Equity sectors

Overweight	% of S&P 500	Guidance	Evenweight	% of S&P 500	Guidance	Underweight	% of S&P 500	Guidance
Industrials	10.7%	12.0%	Consumer Discret.	10.8%	11.0%	Consumer Staples	11.4%	9.5%
Materials	3.5%	4.0%	Energy	12.3%	12.0%	Financial	13.4%	11.0%
Telecom.	3.1%	5.5%				Health Care	11.5%	10.8%
Utilities	3.7%	7.0%				Info. Tech.	19.6%	17.2%

Note: Weightings may not add to 100% due to rounding.

Source: Bloomberg, Wells Fargo Advisors

Taxable fixed income sector weightings

	Benchmark	ASG recommended allocation	
Duration	4.91 years	Slight underweight	4.00 years

Traditional taxable fixed income sector weightings

	Benchmark	ASG recommended allocation	
U.S. Treasuries	35%	Underweight	25%
Agencies	10%	Slight underweight	8%
Mortgage-backed securities (MBS)	15%	Evenweight	15%
Corporates	25%	Overweight	34%
Preferreds	10%	Overweight	15%
TIPS	5%	Underweight	3%

Source: Wells Fargo Advisors

Alternative fixed income sector weightings

	ASG recommended allocation
International Fixed Income	Evenweight
Emerging Market Debt	Evenweight
High-yield	Evenweight

Source: Wells Fargo Advisors

Opportunities in international investments

Equities	Sovereign debt	Currencies
Japan	Australia	Australia
Malaysia	New Zealand	Sweden
Indonesia		
Mexico		

Source: Wells Fargo Advisors

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Important disclaimers

Analyst certification: The analyst who prepared this report hereby certifies that the views expressed in this report accurately reflect his/her personal views about the subject companies and their securities. The analyst also certifies that he/she has not been, is not, and will not be receiving direct or indirect compensation for expressing the specific recommendation(s) or view(s) in this report.

Some information contained in this report was prepared by or obtained from sources that Wells Fargo Advisors believes to be reliable. Any market prices are only indications of market values and are subject to change.

Wells Fargo Advisors may not offer direct investments into the products mentioned in this report.

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Investing in foreign securities presents certain risks not associated with domestic investments, such as currency fluctuations, political and economic instability, and different accounting standards. This may result in greater share price volatility.

Duration is the weighted average time until repayment. Duration is always stated in years and can be used to measure the sensitivity of a bond's price to a change in interest rates. For example, the price of a bond with a duration of five years would be expected to rise of fall 5% in price for every 1% decrease or increase in market interest rates.

The duration benchmark is the duration of the Barclays Capital U.S. Aggregate index, which is an index of the U.S. investment-grade fixed-rate bond market, including both government and corporate bonds.

There is no assurance that any of the target prices or other foward-looking statements mentioned will be attained. Any market prices are only indications of market values and are subject to change.

Technology and Internet-related stocks, especially of smaller, less-seasoned companies, tend to be more volatile than the overall market.

The prices of small- and mid-cap company stocks are generally more volatile than large-company stocks. They often involve higher risks because smaller companies may lack the management expertise, financial resources, product diversification and competitive strengths to endure adverse economic conditions.

Investing in fixed income securities involves certain risks, such as market risk if sold prior to maturity and credit risk, especially if investing in high-yield bonds, which have lower ratings and are subject to greater volatility. All fixed income investments may be worth less than original cost upon redemption or maturity. Income from municipal securities is generally free from federal taxes and state taxes for residents of the issuing state. While the interest income is tax-free, capital gains, if any, will be subject to taxes. Income for some investors may be subject to the federal alternative minimum tax (AMT).

High-yield bonds, also known as junk bonds, are subject to greater risk of loss of principal and interest, including default risk, than higher-rated bonds. The prices of these bonds may be volatile , and they are generally only suitable for aggressive investors.

Bond prices fluctuate inversely to changes in interest rates. Therefore, a general rise in interest rates can result in the decline of the value of your investment.

There are special risks associated with investing in preferred securities. Preferred securities generally offer no voting rights with respect to the issuer. Preferred securities are generally subordinated to bonds or other debt instruments in an issuer's capital structure, subjecting them to a greater risk of non-payment than more senior securities. In addition, the issue may be callable, which may negatively impact the return of the security. Preferred dividends are not guaranteed and are subject to deferral or elimination.

The interest rate for Treasury Inflation-Protected Securities (TIPS), which is set at auction, remains fixed throughout the term of the security. The principal amount of the security is adjusted for inflation, but the inflation-adjusted principal will not be paid until maturity although the adjustment will be subject to income tax in the year it was earned. Wells Fargo Advisors is not a tax advisor. TIPS have special tax consequences, generating phantom income on the "inflation compensation" component of the principal. A holder of TIPS may be required to report this income annually although no income related to "inflation compensation" is received until maturity.

There are special risks associated with an investment in real estate, including credit risk, interest rate fluctuations and the impact of varied economic conditions. Distributions from REIT investments are taxed at the owner's tax bracket.

While stocks generally have a greater potential return than government bonds and Treasury securities, they involve a higher degree of risk. Government bonds and Treasury bills, unlike stocks, are guaranteed as to payment of principal and interest by the U.S. government if held to maturity. Although Treasuries are considered free from credit risk, they are subject to other types of risks. These risks include interest rate risk, which may cause the underlying value of the bond to fluctuate inversely to a change in interest rates.

Exposure to the commodities markets may subject an investment to greater share price volatility than an investment in traditional equity or debt securities. The prices of various commodities may fluctuate based on numerous factors including changes in supply and demand relationships, weather and acts of nature, agricultural conditions, international trade conditions, fiscal monetary and exchange control programs, domestic and foreign political and economic events and policies, and changes in interest rates or sectors affecting a particular industry or commodity. Products that invest in commodities may employ more complex strategies which may expose investors to additional risks, including futures roll yield risk.

Investing in physical commodities, such as gold, silver, platinum or palladium, exposes a fund to other risk considerations such as potentially severe price fluctuations over short periods of time and storage costs that exceed the custodial and/or brokerage costs associated with the fund's other holdings.

Standard & Poor's credit rating: A-rated securities are upper-medium grade. Bonds, that possess many favorable investment attributes are considered as upper-medium-grade obligations. Factors giving security to principal and interest are considered adequate, but elements may be present which suggest a susceptibility to impairment sometime in the future.

Definitions

Alternative income includes international fixed income, high yield, emerging-market debt and real estate investment trusts.

Barclays Capital Aggregate Bond Index is composed of the Government Bond Index, the Asset-Backed Securities Index and the Mortgage-Backed Securities Index and includes U.S. Treasury issues, agency issues, corporate bond issues and mortgage-backed issues. It is unmanaged, includes reinvestment of dividends, does not reflect the impact of transaction, management or performance fees, and is unavailable for investment.

Barclays Capital 20-Year Municipal Bond Index is a benchmark for long-term, investment-grade, tax-exempt municipal bonds. The maturities of these bonds must be between 17 and 22 years. The returns we publish for the index are total returns, which include reinvestment of dividends.

BofA Merrill Lynch Fixed Rate Preferred Securities Index℠ is designed to replicate the total return of a diversified group of preferred securities that must be investment-grade based on an average of three leading ratings agencies: Moody's, S&P and Fitch. The index is rebalanced on a monthly basis.

BofA Merrill Lynch Mortgage Master Index consists of fixed-rate, coupon-bearing bonds comprising generic pass-through securities which comprise numerous mortgage pools with various maturities. The amount outstanding in each agency/type/coupon subdivisions of the mortgasge index must be greater than or equal to $200 million. CMOs are excluded to avoid double-counting.

BofA Merrill Lynch Municipals Master Index tracks the performance of U.S. dollar-denominated investment-grade tax-exempt debt publicly issued by U.S. states and territories, and their political subdivisions, in the U.S. domestic market. Qualifying securities must have at least one year remaining term to maturity, a fixed coupon schedule and an investment-grade rating (based on the average of Moody's, S&P and Fitch).

BofA Merrill Lynch U.S. AAA Agency Master Index includes all U.S. dollar-denominated bonds issued by U.S. agencies and government-sponsored enterprises with a least one year to maturity, including medium-term notes but excluding mortgage pass-throughs and agency label collateralized mortgage obligations, CMOs.

BofA Merrill Lynch U.S. Corporate Master Index tracks the performance of U.S. dollar-denominated investment-grade corporate public debt issued in the U.S. domestic bond market. Qualifying bonds must have at least one year remaining term to maturity, a fixed coupon schedule and a minimum amount outstanding of $150 million. Additional sub-indices are available that segment the index by maturity, rating and sector (Industrial, Finance, Utility, etc.).

BofA Merrill Lynch U.S. High Yield Master II Index is a market capitalization-weighted index of domestic and Yankee high-yield bonds. The index tracks the performance of high-yield securities traded in the U.S. bond market.

BofA Merrill Lynch U.S. Treasury Index tracks the performance of the direct sovereign debt of the U.S. government. It includes all U.S. dollar-denominated U.S. Treasury notes and bonds having at least one year remaining term to maturity and a minimum amount outstanding of $1 billion. Additional sub-indices are available that segment the index by maturity.

BOVESPA Brazilian Index is a total return index weighted by traded volume and comprises the most liquid stocks traded on the Sao Paulo Exchange. The Bovespa Index has been divided 10 times by a factor of 10 since Jan. 1, 1985. Shares in the index are displayed in millions.

Citigroup Non-USD WGBI is an unmanaged index generally considered to be a representative of the world bond market. Index results assume the reinvestment of all capital gain and dividend distributions.

Commodities are basic goods used in commerce that are generally interchangeable with other commodities of the same type. Commodities are most often used as inputs in the production of other goods or services.

Consumer Price Index (CPI) is a measure of the weighted average of prices of a basket of consumer goods and services, such as transportation, food and medical care. The CPI is calculated by taking price changes for each item in the predetermined basket of goods and averaging them; the goods are weighted according to their importance. Changes in CPI are used to assess price changes associated with the cost of living.

Dow Jones/UBS Commodity Index is composed of futures contracts on 19 physical commodities. It reflects the return of underlying commodity futures price movements in precious metals (including gold and silver), industrial metals (aluminum, copper, nickel and zinc), energy (crude oil, heating oil, unleaded gasoline and natural gas), agricultural products (soybean oil, corn, soybeans, coffee, cotton, sugar and wheat) and livestock (live cattle and lean hogs).

Emerging markets are financial markets in countries with developing economies. These markets are typically immature compared to those of the world's major financial centers but are becoming increasingly sophisticated and integrated into international markets; they provide potentially higher returns but are intensely volatile.

Definitions

FTSE 100 is a capitalization-weighted index of the 100 most highly capitalized companies traded on the London Stock Exchange. The equities use an invisibility weighting in the index calculation. The index was developed with a base level of 1,000 as of Jan. 3, 1984.

High yield is noninvestment-grade fixed income securities (rated Ba1 or lower by Moody's and/or BB+ or lower by S&P). These investments are considered to be speculative and are subject to a higher degree of risk.

Intermediate-term fixed income includes instruments that mature in six to 12 years.

International investing involves putting money into financial markets in developed economies outside of the United States.

JP Morgan Emerging Markets Bond Index (EMBI Global) currently covers 27 emerging-market countries. Included in the EMBI Global are U.S. dollar-denominated Brady bonds, Eurobonds, traded loans, and local market debt instruments issued by sovereign and quasi-sovereign entities.

KOSPI Index is a capitalization-weighted index of all common shares on the Korean Stock Exchanges. The preferred shares are excluded in calculating the index as of June 14, 2002.

Large-cap growth stocks have a market cap greater than $10 billion and a price-to-book ratio greater than 2.3.

Large-cap value stocks have a market cap greater than $10 billion and a price-to-book ratio less than or equal to 2.3.

Long-term fixed income includes instruments whose maturities are greater than 12 years.

Mid-cap growth stocks have a market cap between $2 billion – $10 billion and a price-to-book ratio greater than 2.3.

Mid-cap value stocks have a market cap between $2 billion – $10 billion and a price-to-book ratio less than or equal to 2.3.

MSCI EAFE (Europe, Australasia and Far East) Index compiled by Morgan Stanley Capital International (MSCI) is a value-weighted index of the equity performance of major foreign markets. In effect, it is a non-American world index of more than 1,000 stocks.

MSCI Emerging-Market Index was created by MSCI and designed to measure equity market performance in global emerging markets. As of May 31, 2011, the MSCI Emerging Markets Index consisted of the following 21 emerging-market country indices: Brazil, Chile, China, Colombia, Czech Republic, Egypt, Hungary, India, Indonesia, Korea, Malaysia, Mexico, Morocco, Peru, Philippines, Poland, Russia, South Africa, Taiwan, Thailand and Turkey.

Nikkei-225 Stock Average Index is price-weighted average of 225 top-rated Japanese companies listed in the First Section of the Tokyo Stock Exchange. The Nikkei stock average was first published on May 16, 1949, where the average price was 176.21 yen with a divisor of 225.

Shanghai Stock Exchange Composite Index is a capitalization-weighted index that tracks the daily price performance of all A-shares and B-shares listed on the Shanghai Stock Exchange. The index was developed on Dec. 19, 1990, with a base value of 100.

Short-term fixed income includes instruments that mature in one to six years.

Small-cap growth stocks have a market cap less than $2 billion and a price-to-book ratio greater than 2.3.

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